

Economics and culture



If people are economically rational, why do they give presents?

Which comes first, economics or culture? If you sell your old stereo to a friend, you might offer him a knock-down price because there is an expectation that friends do each other favours. You probably also exchange gifts with friends. Such behaviours affect the allocation of economic resources, but seem to be culturally driven. Economists view individuals as rational profit maximizers – but if so, why don't they try to get the best 'price' out of their friends and waste less money on presents? Austrian economist and anthropologist Karl Polanyi argued that economic organization is determined by a society's culture and social norms rather than by economic rationality, particularly in traditional societies. Even in modern economies, culture influences economic life. A conventional economist might argue that beneath the apparently culturally driven

behaviour lies hard-nosed economic calculation: I help you only so that you help me, and what really matters is still profit and return. Polanyi, on the other hand, argued that customs are entirely distinct from the pursuit of profit.